

Let's Learn Long Term Investing

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What is Long Term Investing?

Buying an asset (stocks in this case) and holding them for multiple years

Why do Long Term Investing?

Grow your wealth by a healthy CAGR to achieve life goals

How much returns to aim in Long Term Investing?

FD - 6%

Bonds - 9%

Gold - 10%

NIFTY - 13%

NIFTY Smallcap 250 - 16%

NIFTY Microcap 250 - 18%

Your goal - ?

Rakesh Jhunjhunwala once said - “If you’re able to earn an 18% return on your portfolio, you are no less than a king and if the return is 21%, you are an emperor.”

CAGR of experts :

Jim Simons : 39%

George Soros : 32%

Steve Cohen : 30%

Peter Lynch : 29%

Warren Buffet : 21%

Ray Dalio : 12%

How much returns are you targeting?

But we spoke about returns only

NIFTY fell by more than 60% during 2008

NIFTY fell by more than 40% in 2020

NIFTY fell by more than 15% in 2024-25

All this to generate 13% CAGR

Risk is directly proportional to returns

If you target more returns, high chance your risk will be higher

Now tell,
How much risk adjusted returns are you targeting?

Different Life Goals Require Different Approaches

BUY A HOME



**5 YEARS
LATER**

**LOW RISK
LOW RETURN**

**CHILD'S
EDUCATION**



**15 YEARS
LATER**

**MEDIUM RISK
MEDIUM RETURN**

RETIREMENT



**30 YEARS
LATER**

**HIGH RISK
HIGH RETURN**

Each goal requires a specific approach and different portfolios

Buy a home in 3 years:

- Moderate returns only needed, cannot afford to risk money
- Lot of fixed income assets, less equity, gold

Retire 30 years later:

- Try to maximise returns, can afford to have large drawdowns
- Lot of equity, high risk bets

8 Steps to Build Your Own Stock Portfolio

1. Start with a Clear Goal

- Define *why* you are investing: short-term (3–5 yrs), medium (5–10 yrs), long-term (15–30 yrs).
- Your time horizon and risk appetite form the foundation.
 - Short-term goals: safer, large-cap or debt-heavy mix.
 - Long-term goals: more equity, growth-oriented companies.

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2. Define Your Benchmark

- Always set a reference point - NIFTY 50, Sensex, or NIFTY 500.
- Purpose: If you can't beat or at least match this benchmark over 3-5 years, you're better off investing in mutual funds.
- Benchmarks also prevent overconfidence and help track progress objectively.

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3. Decide Diversification Strategy (Sectors + Number of Stocks)

- Spread across **sectors and stocks** so that one industry or stock crash doesn't wipe you out.
- **How many sectors?**
 - At least **5–6 sectors**.
 - Don't put more than **25–30% in a single sector**.
 - Balance between **cyclical sectors** (banking, auto, infra) and **defensives** (FMCG, pharma, IT).
- **How many stocks?**
 - **12–20 stocks** is the sweet spot.
 - Less than 10 = too risky.
 - More than 25 = you're just mirroring an index, no real edge.

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4. Choose Market-Cap Allocation (Aligned to Goals & Benchmark)

- Large, Mid, and Small/Micro cap split should reflect your **time horizon** and **performance target**:

Example mixes:

- **Conservative (goal: wealth protection, benchmark: NIFTY 50)** → Large Cap 70%, Mid Cap 25%, Small Cap 5%.
Balanced (goal: growth + stability, benchmark: NIFTY Next 50/NIFTY 100) → Large 50%, Mid 30%, Small 20%.
 - **Aggressive (goal: long-term wealth creation, benchmark: NIFTY 500/Midcap index)** → Large 40%, Mid 35%, Small 25%.
- This ensures the portfolio structure is not random, but rooted in your expectations.

8 Steps to Build Your Own Stock Portfolio

5. Pick Best Stocks

- Based on the requirements, search for the best stocks within the respective universes
- **How to pick best stocks? (Qualitative and Quantitative Analysis)**
 - **Management**
 - i. **Integrity & governance** - No history of fraud or misuse.
 - ii. **Skin in the game** - Promoters hold meaningful stake.
 - iii. **Capital allocation** - Profits used wisely, not reckless debt.
Consistency - Delivering on promises over years.
 - **Business**
 - i. **Growth & profitability** - Steady revenue and profit growth.
 - ii. **Moat** - Brand, patents, distribution, cost edge.
 - iii. **Industry position** - Leader or strong challenger.
 - iv. **Resilience** - Can handle downturns, demand shocks.
 - **Valuation**
 - i. **Relative valuation** - PE, PB, EV/EBITDA vs peers.
 - ii. **Historical comparison** - Current multiples vs 5–10 year average.
 - iii. **Growth vs price** - PEG ratio to check value for growth.
 - iv. **Margin of safety** - Buy below intrinsic value, avoid hype.

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6. Risk Management

- Limit exposure: max **10% in a single stock**, max **25–30% in one sector**.
- Maintain 5–10% in cash/debt for flexibility.
- Exit rules: when fundamentals break or management quality falls.

8 Steps to Build Your Own Stock Portfolio

7. Review and Rebalance

- Quarterly or annually check if:
 - Stock thesis still holds.
 - Any sector/stock has grown too large.
- Rebalance to maintain original allocation (sector + cap mix).
- Exit and pick new stocks when fundamentals break or management quality falls.

8 Steps to Build Your Own Stock Portfolio

8. Discipline

- Don't chase penny stocks or "cheap" names without fundamentals.
- Don't copy social media tips blindly.
- Don't churn too often - big winners need holding time.
- **Greed** (buying blindly in rallies) and **fear** (selling too early in dips) destroy portfolios.
- Stick to your process and rules.

Now that you know the world, we can learn
How to Pick the Best Stocks in Detail

Note Please:

If your CAGR target is below 20%, you need not pick stocks yourself

Learn to pick good mutual funds and invest into them

The expert fund manager in the mutual fund house will pick amazing stocks and your money will be invested in them

If your CAGR target is above 20%, you need to pick stocks yourself

Learn to pick good stocks and invest into them

You will have to become an expert in researching and analysing stocks and manage your own portfolio